

BUSINESS AS A FORCE OF GOOD



LOMBARD ODIER

LOMBARD ODIER DARIER HENTSCH

Course: Organizational Responsibility
Course Code: S401003
Professor: Déborah Philippe, PhD
Teaching Assistant: Rim Bitar
Date: 19 December 2024

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- Rajendra Laxmi Dhamala
- Sorina-Ioana Matthey-de-l'Endroit
- Egide Niyonkuru
- Lidan Wei



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AGENDA



- 1 Introduction – Industry and Lombard Odier
- 2 Sustainability Certification, Framework and Communication
- 3 UN Principles for Responsible Banking (PRB)
- 4 Sustainability Governance and Investing
- 5 Summary and Recommendation
- 6 Outlook for the Responsible Banking Industry

INDUSTRY LANDSCAPE



Asset management and private banking

- Manage trillions of dollars for institutions and high-net-worth individuals
- Core functions:
 - Creating value through diverse investments
 - Providing personalized financial services
 - Wealth preservation and estate planning
- Critical role in:
 - Capital allocation
 - Economic trend shaping
 - Advancing sustainability goals

INDUSTRY LANDSCAPE



Environmental challenges

- Aligning investment portfolios with net-zero emissions targets
- Addressing biodiversity loss
- Adhering to complex regulatory environments:
 - EU Taxonomy Regulation
 - Scope 3 emissions reporting

INDUSTRY LANDSCAPE



Social challenges

- Ensuring investments respect human rights
- Maintaining labor standards across global supply chains
- Increasing accountability through regulations
 - EU's Sustainable Finance Disclosure Regulation (SFDR)
- Demands of more transparent reporting and ethical practices

INDUSTRY LANDSCAPE



Greenwashing

- More and more clients prioritize ESG-aligned portfolios
- More need for sustainable reporting
- Especially dangerous in asset management and private equity sector
- Environmental impact can be largely invisible in complex portfolios
- Need for transparent and accountable practices

LOMBARD ODIER



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Company overview

- Founded in 1796 in Geneva, Switzerland
- Oldest and largest private bank in Switzerland
- Family-owned for seven generations
- Founding contributor to:
 - Geneva Stock Exchange
 - Swiss National Bank

LOMBARD ODIER



Global reach

- Over 25 international offices
- Serving clients worldwide
- Motto: “Our heritage is Swiss, yet our outlook and mind set are resolutely international”

Financial strength

- Total client assets: CHF 318 billion
- CET1 ratio: 31.7%
- Fitch rating: AA–

LOMBARD ODIER



Business as a force for good

- Purpose extends beyond making money:
 - Serve community needs
 - Create sustainable societal impact
 - Integrate sustainability into financial decision-making
- Impact potential lies primarily in their investment decisions
- Account for indirect carbon footprint embedded in investment portfolios
- Adopt investment strategy that creates meaningful change

B CORP CERTIFICATION



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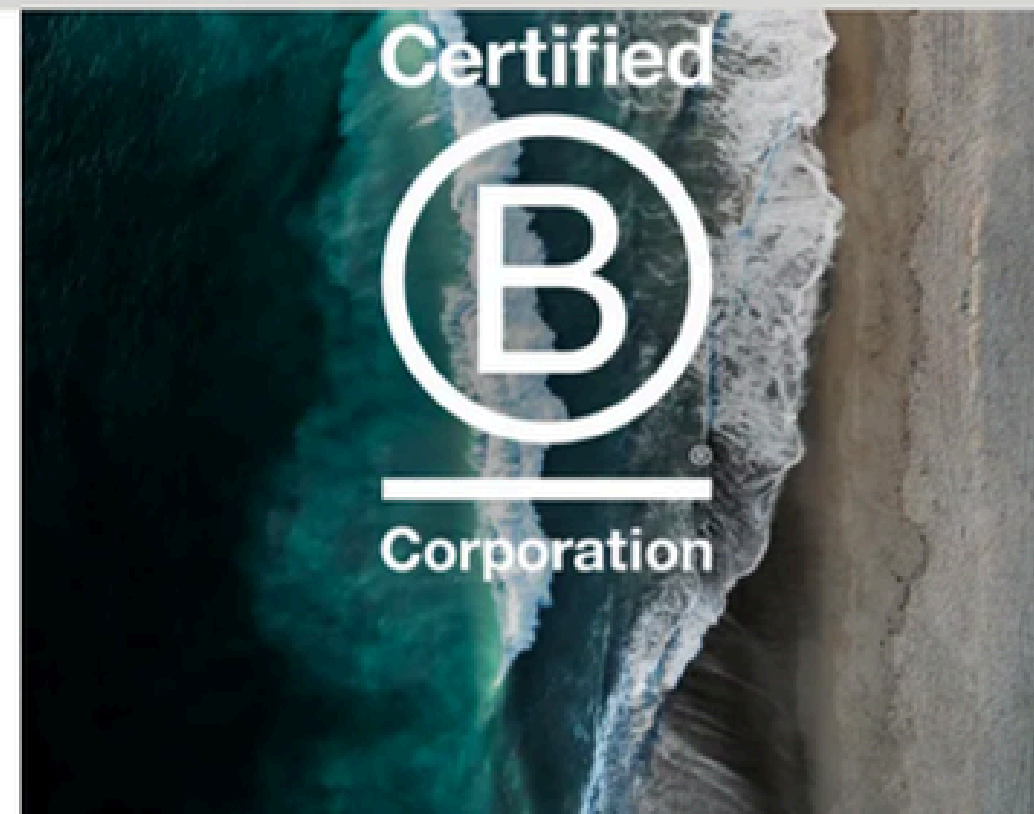
> insights > media releases > Lombard Odier recertifies as B Corp™ with improved score

recertifies as B Corp™ with improved score

June 14, 2023

Bank Lombard Odier & Co Ltd, the Geneva-based international wealth and asset manager, is pleased to announce that its **B Corp status** has been reaffirmed by B Lab, the non-profit responsible for certifying B Corps. The recertification process saw Lombard Odier improve its overall score from 98 to 111.

Lombard Odier was the **first global wealth and asset manager to achieve B Corp Certification** in March 2019, with an impact score of 98 points. Since its initial certification, Lombard Odier has integrated the results of its "B Impact Assessment" into the business' sustainability strategy and taken measures to achieve tangible results across the five B Corp impact areas: Governance; Workers; Community; Environment and Customers.



Lombard Odier's overall score increased from **98.8(2019) to 111.2 points(2023)**, representing a significant improvement of 13 points.

Since its initial certification in 2019, Lombard Odier **integrated the results of its "B Impact Assessment" into the company's sustainability strategy**. This integration allowed them to focus on specific areas for improvement across the five B Corp impact areas: **Governance, Workers, Community, Environment, and Customers**.

CLIC Model

Circular: Lombard Odier decided to invest in firms that recycle its materials.

Lean: Lombard Odier promotes an efficient usage of resources.

Inclusive: Lombard Odier also supports projects, initiatives, and firms that promote equity, shared value opportunities in society.

Clean: Lombard Odier supports firms with low carbon emissions, promotes green energy, and reduces environmental degradation while promoting renewable energy



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Lombard Odier Partnership with Oxford University and holistiQ



Professor Dame Louise Richardson & Hubert Keller

► Importance of Integrating Sustainability Factors into financial analysis and risk management

Culture



Global
Economic
Standards



Increase
revenue





Communication, Reporting and Media engagement

Annual Reports

Financial and Sustainability

Media engagement

Press releases and articles

Social media engagement

LinkedIn, YouTube, X,
Instagram, Facebook

Sponsoring/hosting

re-NATURE Hub at COP28
and Building Bridges Summit



Lombard Odier criticism in the media

- Money laundering
- Investment in environmental polluting companies:
Saudi Aramco, ExxonMobil, Shell and BP



Reaction to criticism

- Collaborating with Swiss Authorities during the investigation
- Partners with holistiQ and Oxford University

PRINCIPLES FOR RESPONSIBLE BANKING (PRB)- UN ENVIRONMENTAL PROGRAM



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ONE



ALIGNMENT FRAMEWORKS

- Paris Climate Agreement-UN SDG
- UN Global Compact principles
- UN Guiding Principles on Business/Human Rights
- Task Force on Climate-Related Financial Disclosures TCFD

TWO



IMPACT AND TARGET SETTING

- Energy
- Land and Ocean
- Energy

THREE



CLIENTS AND CUSTOMERS

- Client engagement
- Business Opportunity

FOUR



STAKEHOLDERS

- Academia & partners
- Peers
- The civil society
- Regulators and Client
- Employees & Suppliers.

FIVE



GOVERNANCE AND CULTURE

- Academia & partners
- Peers
- The civil society
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SIX



TRANSPARENCY & ACCOUNTABILITY

- PRB report

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- Targets to reduce its carbon footprint
- Joined the Net Zero Assets Managers Initiatives (NZAMI) in 2021
- Pledged to reach net zero for its own operations by 2030

ALIGNMENT FRAMEWORKS

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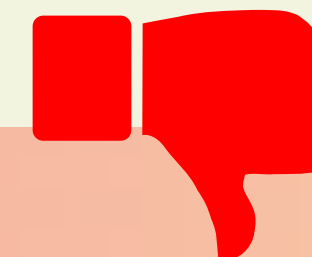


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- Scope one result in only 13% of total emissions.

ALIGNMENT FRAMEWORKS

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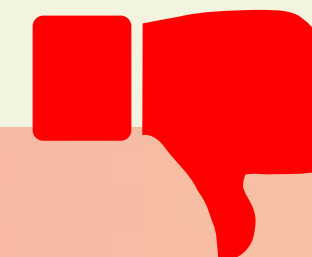


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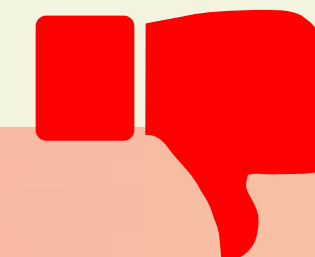
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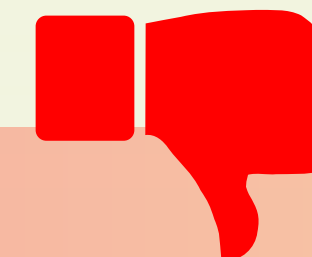
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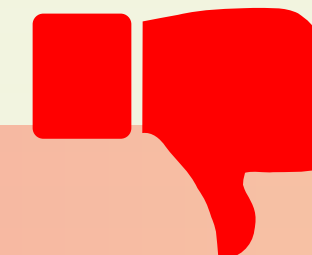


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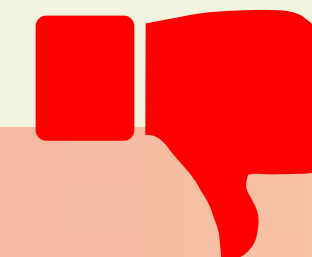
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- Foundation to provide funding for forward-looking solutions to pressing challenges with a focus on social affairs, education, healthcare, and the environment.



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IMPACT AND TARGET SETTING

- Energy
- Land and Ocean
- Materials

IMPACT AND TARGET SETTING

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IMPACT AND TARGET SETTING

- Energy
- Land and Ocean
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1. Energy

- Implied Temperature Rise tool
- carbon footprint calculation
- Fossil-fuel power plants- electricity production from renewables and other zero-carbon sources

IMPACT AND TARGET SETTING

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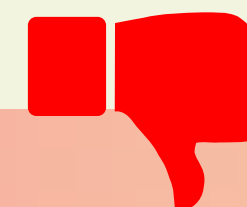
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- Not enough to understand fully the impact of investments holistically

IMPACT AND TARGET SETTING

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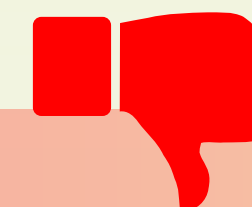


1. Energy

- Implied Temperature Rise tool
- carbon footprint calculation
- Fossil-fuel power plants- electricity production from renewables and other zero-carbon sources

2. Land and Ocean

- Calories from sources that require less land and freshwater use



- Not enough to understand fully the impact of investments holistically

IMPACT AND TARGET SETTING

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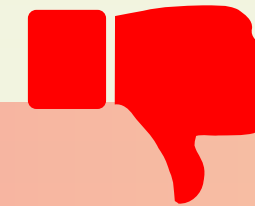


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- Not enough to understand fully the impact of investments holistically

- Developed an early-stage demonstration tool aimed at assessing soil organic carbon

IMPACT AND TARGET SETTING

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3. Material

- Circular economy around three key investment themes: better materials, better usage models, and better recycling.



- Not enough to understand fully the impact of investments holistically

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IMPACT AND TARGET SETTING

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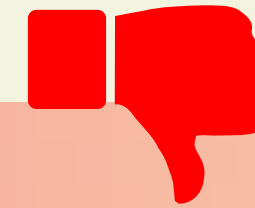
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- Calories from sources that require less land and freshwater use

3. Material

- Circular economy around three key investment themes: better materials, better usage models, and better recycling.



- Not enough to understand fully the impact of investments holistically

- Developed an early-stage demonstration tool aimed at assessing soil organic carbon

- Understudied

IMPACT AND TARGET SETTING

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CLIENTS AND CUSTOMERS

- Client engagement
- Business Opportunity

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STAKEHOLDERS

- Academia & partners
- Peers
- The civil society
- Regulators and Client
- Employees & Suppliers.

FIVE



GOVERNANCE AND CULTURE

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SIX



TRANSPARENCY & ACCOUNTABILITY

- PRB report

SUSTAINABILITY GOVERNANCE

Our commitment to sustainability:

“We have a longstanding tradition of thinking and acting along the principles of corporate responsibility, sustainability and philanthropy.”

Lombard Odier's governing structure

An independent firm which is organised as a partnership, and run by:

- 6 partners (all male) and
- 23 managing partners (20 male)



Partners: Hubert Keller, Frédéric Rochat, Denis Pittet, Alexandre Zeller, Jean-Pascal Porcherot, and Alexandre Meyer.
Source: Lombard Odier website (available [here](#)).

SUSTAINABILITY GOVERNANCE

“

We have a clear sustainability governance

Sustainability Steering Forum

Oversees Lombard Odier's:

- sustainability philosophy,
- investment approach, and
- related policies.

CSR Steering Forum

Ensures that Lombard Odier's sustainability values are aligned with its:

- non-investment related actions,
- operations and
- policies.

SUSTAINABILITY GOVERNANCE

“

It is time for a new paradigm that positions nature at the heart of our economy and makes the environmental transition possible

Example: **Marc Palahí**, Chief Nature Officer

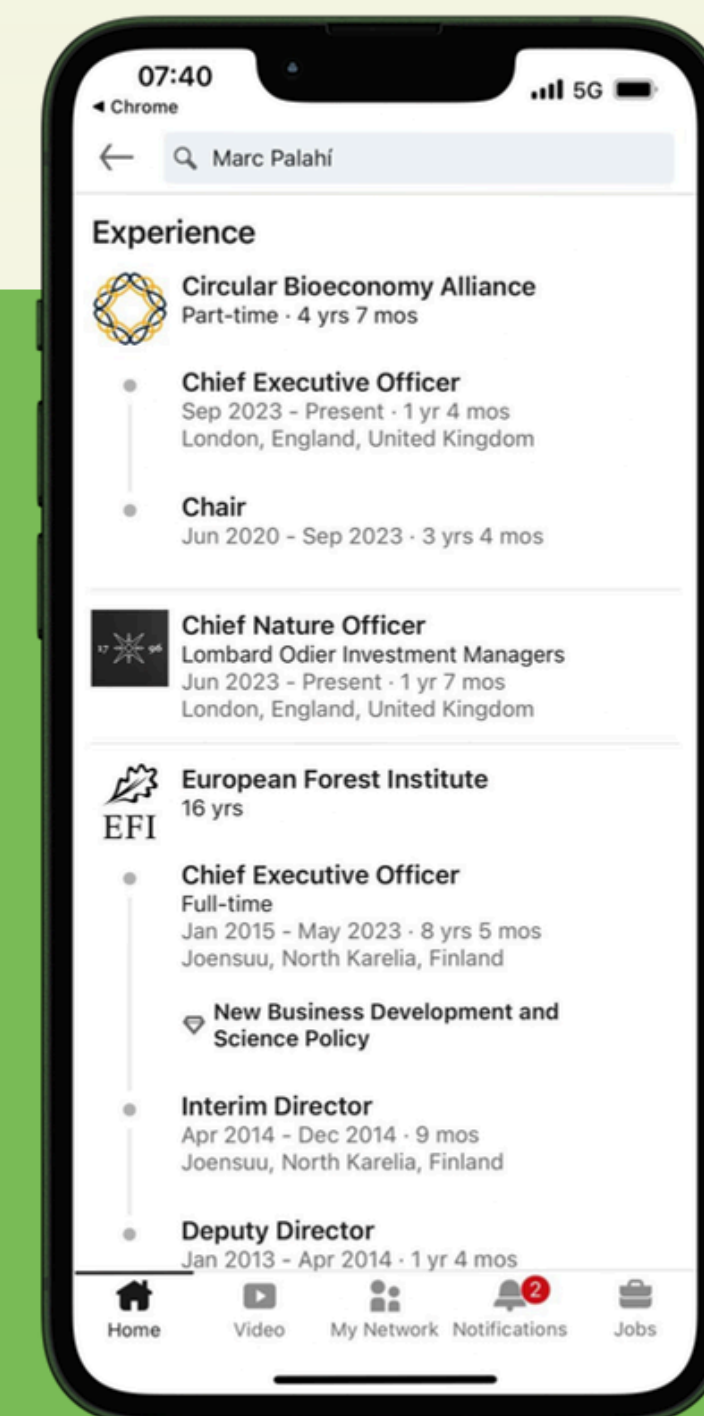
Responsibilities:

- Connecting nature with finance.
- Works closely with the CEO's senior leadership team, “CSOs” (?) and investment professionals, to build strategies that have nature at their heart.

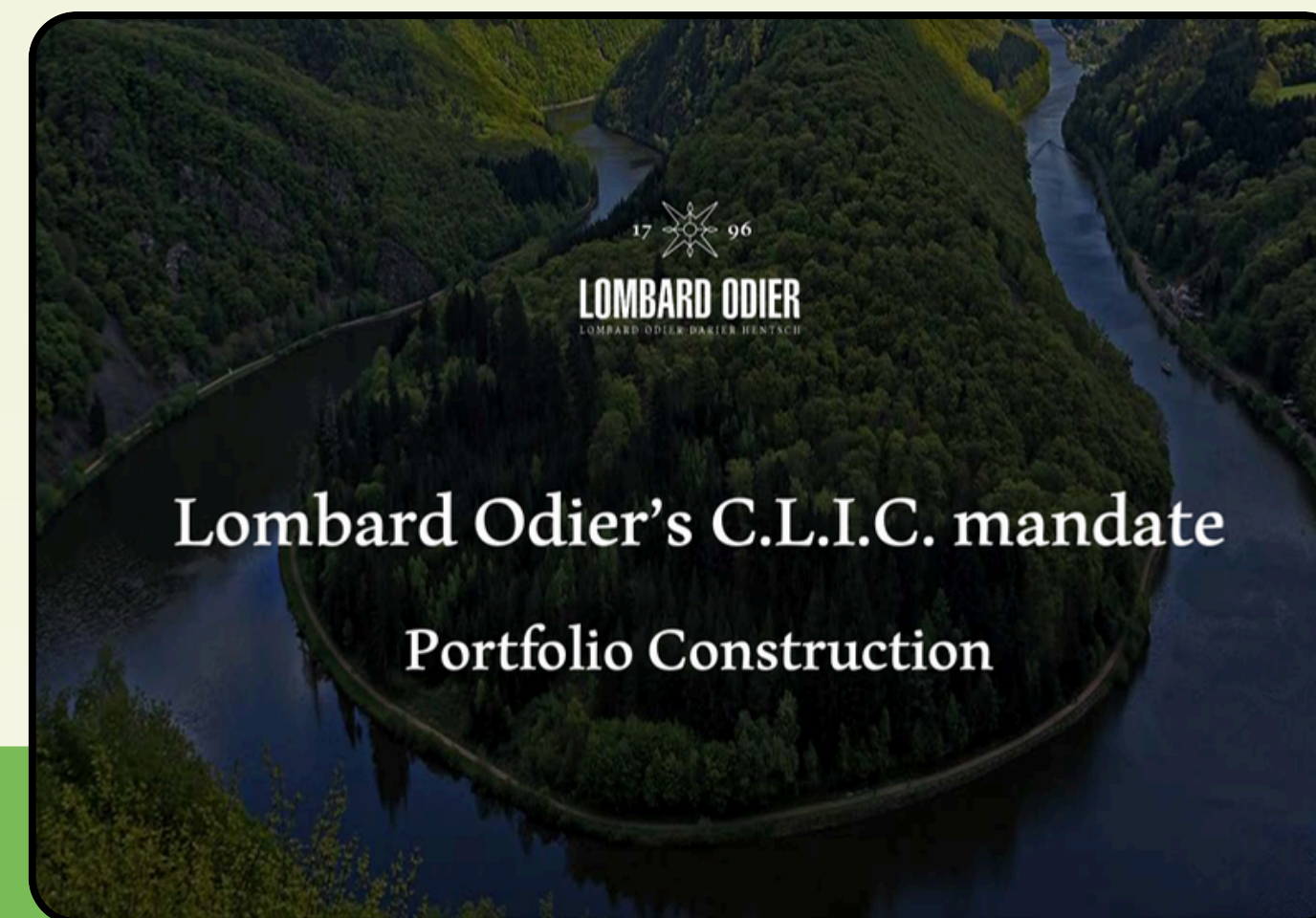


Source: LinkedIn page of Lombard Odier Investment Managers (available [here](#))

Date: 16 December, 2024



SUSTAINABLE INVESTING



Source: Lombard Odier website (available [here](#))

Lombard Odier's definition

A sustainable investment is an investment in a Green company that:

- **Derives at least 30%** of its revenue from activities contributing to an environmental objective as defined by the EU taxonomy* completed by the Lombard Odier Technical screening criteria or that is a transitioning leader, allocating most of its CAPEX to contributing activities.
- **Does not significantly harm any of the 6 EU taxonomy objectives** that we analyze through the Principal Adverse Impact (PAI) with LO thresholds. Additionally, **the company must not derive more than 5%** of its revenues from **always harmful activities** as defined in our framework.
- **Supports good governance principles** that we define using a combination of PAIs and more specific internal indicators.

SUSTAINABLE INVESTING



Our approach to sustainable investment

One objective: Generating attractive investment returns in
the transition to a C.L.I.C. economy

Two dimensions:



*Financial
dimension*

Green Returns

Companies well positioned to capture shifting or
emerging profit pools from the transition



*Alignment
dimension*

Green Companies

Companies whose business model is accelerating a
chapter of the transition, do not harm other chapters
and meet social & governance safeguards

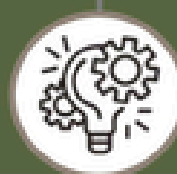
SUSTAINABLE INVESTING

17 96

Measure «Greenness» of Green Bonds

A rule-based, flexible framework based on three elements to evaluate credentials

AMBITION



Use of proceeds

Categories of eligible projects.
Alignment with the strategy.
Level of ambition of objectives.

- ☐ Renewable energy
- ☐ Energy Efficiency
- ☐ Pollution prevention and control
- ☐ Management of natural resources
- ☐ Terrestrial and aquatic biodiversity
- ☐ Clean transportation
- ☐ Sustainable water management
- ☐ Climate change adaptation
- ☐ Eco-efficiency
- ☐ Green buildings

Inputs:

- Project Category and definition
- SDGs
- Roadshow

INTEGRITY



Selection process

Measurable and objective selection criteria
Transparent decision rules.



Management

Segregation and transparent and traceable allocation process.



Reporting

Transparent, public
Allocation by category and appropriate impact data by project.



External review

Certification, second party opinion.

CREDIBILITY



Sustainability's credentials

Credibility of the issuer
Good ESG practices
Business model consistent with objectives.
Credible implementation plan.

Inputs:

- ESG
- LO Implied Temperature Rise
- Company transition strategy



Financial Materiality

Discussion with the PMs and Fixed income analysts.

SUSTAINABLE INVESTING

Onboarding How does the C.L.I.C. mandate fit into the new Suitability questionnaire?

17  96

G) Sustainability Preferences

14) How would you describe your interest for sustainability?

- A. ☐ I have a low interest for sustainability and I would like my portfolio(s) to be managed/advised without such orientation, although the portfolio(s) could include a few of these type of investments.
- B. ☒ I have a particular interest for sustainability.

If you have chosen answer A, you may go directly to question 17. Your banker will discuss with you the respective investment offering.

If you have chosen answer B, you may continue answering the below questions.

Sustainability means investments with different level of ESG ambitions ranking from investments promoting such characteristics to sustainable investments.

15) Would you like your portfolio(s) to be invested pursuant to an investment strategy which promotes environmental characteristics and includes:

- Between 10% and 39% of sustainable investments as defined by SFDR¹ and
- Between 5% and 15% of environmentally and/or socially sustainable investments as defined by EU Taxonomy².

- A. ☒ Yes, I consider that the above proportions meet my sustainability preferences.
- B. ☐ No, the above proportions do not meet my sustainability preferences.

If you have chosen answer A, you may go directly to question 17. Your banker will discuss with you the respective investment offering.

If you have chosen answer B, you may continue answering the below questions.

A Sustainable investments is an investment in a company operating economic activities contributing to environmental or social objective, provided that these activities do not significantly harm any environmental or social objective and that the company follows good governance practices.

16) If neither of the above investment proposals meet your sustainability preferences, you may set below the minimum proportion of sustainable investments as defined by SFDR, as well as environmentally and/or socially sustainable investments as defined by EU Taxonomy you would like your portfolio(s) to include.

Important information: please note that your minimum proportions need to be compatible with your risk profile and may require a minimum amount of assets in the portfolio(s) as well as a distinct mandate. Your banker will discuss with you the investment strategy(ies) available.

- A. Sustainable investments as defined by SFDR:
- ☐ Minimum 40%
 - ☐ Minimum 60%
 - ☐ Other : (must be higher than the above listed percentages)
- B. EU Taxonomy aligned investments :
- ☐ Minimum 20%
 - ☐ Minimum 40%
 - ☐ Other : (must be higher than the above listed percentages)

An EU taxonomy aligned investment is an investment in an EU Taxonomy eligible economic activity that is making a substantial contribution to at least one of the environmental objectives, while also not significantly harming the remaining objectives and the investee company is meeting minimum standards on human rights and labor standards.

The ex-ante disclosures of the CLIC mandate (SFDR 8 with min. 15% of Sustainable investment) are consistent with these answers

Only for Special Mandates with high interest for Sustainability

SUSTAINABLE INVESTING

IS Sustainable Investment Team

A dedicated team of experts in both sustainability and portfolio management



Sophie CHARDON

Head of CP Sustainable Investment

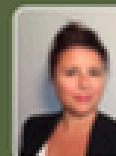
- Almost 20 years in financial markets, mostly in macro/ asset allocation and portfolio construction
- Enthusiastic ab/t accompanying our clients in the sustainability revolution thanks to robust investment solutions
- Member of LO Investment Committee since 2014



Nathalie CHANTECLAIR

Business development

- 12 years as portfolio manager, strongly involved in sustainability
- Passionate ab/t communicating on sustainability at LO and how we can implement it in client portfolios
- assist bankers in all client-facing activities (pitches, bespoke solutions, product presentations,...)



Florence KISS

Impact expert

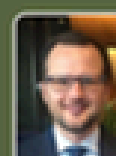
- 30 years experience in financial industry in different positions, mostly in Fixed Income
- Sustainability and impact involvement happened via green bonds/microfinance (private debt)
- Dedicated to impact, working with the front, the open architecture team to select funds and the research teams for stewardship



Nathalie CERUTTI

Sustainability Equity Analyst (S&M cap)

- 15 years sustainable equity research in investment banking with a cross sectorial coverage
- SMID CLIC leader idea generation across Clean Energy, Energy Storage, Building Efficiency, Natural Capital, Materials and Waste Management
- CIWM; SFA's Material ESG factors acc/nting Credential Holder



Gaël COLCOMBET

Sustainability Equity Analyst (S&M cap)

- 14 years equity research and investment banking experience covering different sectors
- SMID CLIC leader idea generation across Energy, Electrification, Enablers and Food Systems.
- CFA charterholder, CFA Certificate in ESG Investing. Joined from LOIM in Sept. 2022



Sandra PIRES QUINTAS

Portfolio Construction

- Experience in portfolio construction applied to wealth management
- Passionate ab/t sustainability, I joined the team as Junior sustainability analyst in 2022
- Master degree in Finance at HEC – University of Lausanne

SUSTAINABLE INVESTING

“**Stewardship** is how we protect and enhance the long-term value of the assets entrusted to us by our clients.” It is a “tool to achieve measurable impact beyond financial returns,” thus making “a positive contribution to the transition to the CLIC® economy through systems change.”

Investment strategies proposed to clients

Examples:

- Rethink investing framework
 - Themes: longevity, new gen, technology, net zero, nature, and infrastructure.
- Stewardship framework:
 - Promote alignment with the sustainability transition.
 - Promote sustainable returns.



Source: The power of stewardship, Lombard Odier website (available [here](#))



Sustainable Governance Structure

- Lack of transparency in top management.

RE: Adopt transparent report mechanism

- limited leadership diversity

RE: Actively recruit sustainability experts and increase gender and racial diversity among leadership



Optimizing CS Strategies

- SDGs lack scientific basis AND full depth PRB disclosures

RE: Collaborate with global authorities to align carbon targets

- Controversial portfolio

RE: Develop a green portfolio rather than a grey area portfolio



CS Communication Management

- Greenwashing for Events & Media Criticism
- Different reports with different results

RE: Verification through independent third-party audits to enhance credibility. Expand communication channels with stakeholders

Summary & Recommendation

Lombard Odier (LO) dedicated to sustainable principles, diverse communication channels, and integrating sustainability into finance and risk management, demonstrated its commitment to responsible banking, but had shortcomings in CS communication management, data transparency, and governance structure, which limited its ability to transform from "TALK" to "WALK" but also provided it with opportunities for transformation.



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The RB industry is transforming from a "**compliance-oriented**" to an "**influence-oriented**" approach.

The existing sustainable investment strategy in the **gray area is easy fruit**, which is also a common problem in the current RB industry.

Lombard Odier has pioneering ambition and potential, and the future of responsible banking requires not only communication but also **verifiable and measurable commitment** to sustainable development.

Outlook for Responsible Banking Industry



Data-driven and technological innovation



Multi-party cooperation and standard unification



Social Impact Priority





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